

Melvin Capital then had to buy these shares back, now at a higher price — causing them to lose \$6.8 billion in one month. The stock price has since come down considerably from its high, and those who bought at the peak of the frenzy have lost a lot of money. While it was a pretty one-off event, it's a great example of the downsides of shorting, the dangers of FOMO investing, and how speculative bubbles can form in the age of social media.

Forex trading

Forex (FX) is short for foreign exchange. It's very similar to day trading, but rather than trading stocks you are trading currencies. The price of currencies fluctuates throughout the day too. \$1 USD may equal \$1.37 AUD at 9 am but can be worth \$1.39 by 8 pm.

The idea behind forex trading is that you buy into a currency when it is cheaper in price, and then when the currency goes up you sell it for a profit. Currencies are traded in pairs (e.g. USD/NZD).

For example, I could buy \$100 USD when it's worth \$150 NZD and then when \$100 USD is worth \$200 NZD I can sell it, making a \$50 profit. It's not like gambling, however, as there are factors such as upcoming elections or trade deals that can indicate a change in currency price.

Forex trading is done on the foreign exchange market, also known as the currency market. This and the cryptocurrency exchange are the only two nonstop trading markets in the world. They don't stop at 4.30 pm and aren't closed on weekends.

The forex market is as volatile as the 'nice guy' who starts swearing at you when you reject his advances. But unlike with nice guys, you want volatility in the forex market. Factors such as interest rates, tourism and politics can affect the supply and demand of the currencies and thus cause them to fluctuate.

It's one of the most heavily traded markets in the world; banks use it, companies use it and retail investors can have access to it as well.

In the same way you can long and short stocks, you can long and short currencies, making money when the price of them increases or drops. The thing that makes forex trading interesting is leverage: you can use other